

Discussion of the paper “The *power of the pen*:
Political influences on the legislative procedure in
Europe”

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Introduction

- ▶ Recapitulation of research question and research objectives:
 - ▶ “What is the effect of meetings between policy-makers and (representatives of) interest groups during the legislative procedure?”
 - ▶ Meeting $\rightarrow$ Amendment $\rightarrow \Delta$ Benefit/cost trade-off
 - ▶ Theoretical framework:
 - ▶ New law project brings forth some costs and benefits
 - ▶ Interested parties bargain about the allocation of these costs/benefits to various groups
 - ▶ The *next* amendment can be interpreted as the *status quo* in this bargaining process
- ▶ I want to talk about: the empirical strategy, endogeneity, and the measurement and validation of some key variables

Empirical strategy

- ▶ Suggested approach in the presentation:

$$\text{Benefits}_{s,r,a,l,t} = \alpha_0 + \gamma \text{Meeting}_{s,r,a,l,t} + X'_{s,r,a,l,t} \beta + \epsilon_{s,r,a,l,t}$$

- ▶ Where $\text{Meeting}_s = 1$ if stakeholder s met with any legislator l between project law r at time t and project law r at time $t - 1$
- ▶ (I am wondering if we need the index a here, as amendments are just snapshots of law l at time t)
- ▶ More importantly, changes vs. levels: I think for each amendment, you ideally want to know either:
 - ▶ The *status quo*: the level of benefits / costs incurred by each of the stakeholders
 - ▶ This might be difficult to measure / requires more far-fetched assumptions on the abilities of the LLM
 - ▶ Therefore: *change* in the *status quo*: relative to the “first” draft text, what happened?

Empirical strategy: Independent variable

- ▶ Why no intensive margin/count variable in addition to a dummy?
 - ▶ There might be convex returns to lobbying
- ▶ Considering the wide variety of interested parties, maybe best to group them together
 - ▶ Dummy = 1 if interest group $j \in J$ has met with *rapporteur*
- ▶ The approach implies that, if a stakeholder is successful at bargaining during a meeting, this will be reflected in the *next* amendment
 - ▶ Rather than spread out over more than one amendment
 - ▶ This is the possibly the source of finding the attenuated, lower bound-influence of lobbying

Empirical strategy: Dependent variable

- ▶ Maybe it might be interesting to look at more raw measures before investigating *benefits*
- ▶ Concretely: conditional on meeting occurring with stakeholder from category j :
 - ▶ Do we observe more changes in the project law than otherwise?
 - ▶ Does the time to a new amendment decrease?
- ▶ Benefits or (Δ benefits) might also not be a dichotomous variable
 - ▶ For example, you might distinguish between *adding* and *deleting* text, and finding out the nature of what is added or deleted

Endogeneity

- ▶ Selection bias probably exists in an OLS approach: stakeholders select themselves into the treatment
 - ▶ Probably you do not have the intuitive counterfactual of interest yet: we want to know what would have happened compared to when the meeting did not take place *ceteris paribus*, but this is governed by choice
 - ▶ Meaning their potential outcomes probably not comparable to outcomes in the control group
- ▶ I think a possible IV strategy might focus on how the meetings are planned:
 - ▶ Are there queues for meetings?
 - ▶ Who allocates these? Are there also rejected meeting requests?
- ▶ Placebo test with an “unrelated” independent variable, e.g. meetings with secretary or with parties that have nothing to do with the law

Empirical Strategy: Fixed Effects

- ▶ Reminder: suggested approach in the presentation:

$$\text{Benefits}_{s,r,a,l,t} = \alpha_0 + \gamma \text{Meeting}_{s,r,a,l,t} + X'_{s,r,a,l,t} \beta + \epsilon_{s,r,a,l,t}$$

- ▶ What kind of fixed effects do you need?
- ▶ What are the *least important* of all of these dimensions?
 - ▶ I think: calendar time t
 - ▶ So my suggestion: forget about that, investigate temporal heterogeneity later by splitting up the sample
- ▶ You are left with
- ▶ Deputy/party fixed effects

Manual Data Suggestion

- ▶ Approach now (GPT) is a bit arcane
- ▶ Manually needed data can be used to train a language model more explicitly
 - ▶ BERT or any other standard architecture + a classifier head
- ▶ Validation approach much needed:
 - ▶ Compare answers to manually classified amendments
 - ▶ Possibly: use stock price information of stakeholders to validate 'value' of amendment